

short-term declines in a matter of time, then you are an in-between or assertive investor. You are comfortable taking more risk in the market and understand market declines could be a great opportunity to get some good investing deals with the proper research. If you still have a while to go (10+ years) before you need your money for an investment objective like retirement, you are okay taking on some additional risk.

Aggressive investor: If you are all about maximizing your earnings in the market and you understand that big earning potential comes with big risk, you are an aggressive investor. You are comfortable with large short-term market dips. You typically don't need your money for 20 to 30 years and you are all about growing your portfolio as much as possible. As your time horizon shortens, you may change your investments to be more conservative down the line.

3. **Leverage asset allocation and diversification.** There are two key ways to mitigate or balance out the amount of risk you take on. The first is asset allocation and the second is diversification. These should both be combined to help you create a solid risk mitigation plan. Let's go over what they are:

Asset allocation. This is basically ensuring that you have a mix of different investments in your portfolio (e.g. U.S. stocks and bonds, foreign stocks and bonds, cash, real estate). This way, if one type of investment experiences major losses, the impact to the rest of your portfolio is reduced due to your asset allocation.

Diversification. This, on the other hand, is all about dividing your investments into different categories. For example, by purchasing stocks in different industry sectors like consumer goods, technology, healthcare, energy, telecommunications, and so on, you are creating a well-diversified portfolio. If, for instance, the consumer goods or technology industries experience declines, you still have investments in other industries to balance out your portfolio.